

HOUSE No. 4079

The Commonwealth of Massachusetts

PRESENTED BY:

Kip A. Diggs

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to public retirees and reforming post-retirement employment and earnings limits.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Kip A. Diggs</i>	<i>2nd Barnstable</i>	<i>1/16/2025</i>
<i>Steven George Xiarhos</i>	<i>5th Barnstable</i>	<i>6/25/2025</i>

HOUSE No. 4079

By Representative Diggs of Barnstable, a petition (accompanied by bill, House, No. 4079) of Kip A. Diggs relative to public retirees and reforming post-retirement employment and earnings limits. Public Service.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to public retirees and reforming post-retirement employment and earnings limits.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Section 91 of chapter 32 of the General Laws, as appearing in the 2022
2 Official Edition, is hereby amended by striking out, in lines 96 and 111, the figure “1,200” and
3 inserting in place thereof the following figure:- 1,320.

4 SECTION 2. Said section 91 of said chapter 32, as so appearing, is hereby further
5 amended by adding the following subsection:-

6 (f) Each person referred to in subsection (b) employed under this section must adhere to
7 the 1,320 hourly cap in said subsection (b) and subsection (c) while ensuring compliance with all
8 other earnings and reporting requirements.

9 SECTION 3. Said chapter 32 is hereby further amended by inserting after section 91C the
10 following section:-

Section 91D. (a) Any retired individual receiving a public pension from a state other than the commonwealth and who is employed by an public entity of the commonwealth shall be subject to a reduced earnings limit under the following provisions: (i) earnings from public employment by the commonwealth shall not exceed 50 per cent of the annual salary for the position in which the retired individual is employed; and (ii) the total hours worked in a calendar year shall not exceed 900 hours for any such retired individual.

(b) Public employers of the commonwealth who hire out-of-state retired individuals shall: (i) report the employment status, position and compensation of such retired individuals to the public employee retirement administration commission established under section 49 of chapter 7 within 30 days of their hiring; and (ii) ensure compliance with the reduced earnings limits set forth in this section.

(c) The public employee retirement administration commission shall: (i) develop a centralized system to monitor the earnings and hours of all public retired individuals employed by public entities of the commonwealth; and (ii) publish an annual report detailing compliance with post-retirement earnings limits, including specific data on out-of-state retired individuals.

(d) Employers who fail to comply with the reporting requirements under section 91A shall be subject to administrative fines not exceeding \$5,000 per instance of noncompliance.

(e) Any out-of-state retired individuals found to have knowingly exceeded the earnings or hour limits under section 91A shall be required to: (i) return all earnings above the allowed threshold to the employing public entity of the commonwealth; and (ii) pay a financial penalty equal to 25 per cent of the excess earnings.

(f) Public entities of the commonwealth shall: (i) prioritize the hiring of public retired individuals of the commonwealth for positions that fall under the purview of section 91; and (ii) be eligible for state funding incentives if their hiring practices demonstrate a preference for retired individuals of the commonwealth.

(g) The public employee retirement administration commission shall develop an online tool to: (i) allow public retired individuals to calculate their earnings limits based on current employment and pension status; and (ii) provide public employers of the commonwealth with resources to ensure compliance with sections 91 and 91A.

(h) The public employee retirement administration commission shall launch a public awareness campaign to educate retired individuals and public employers about post-retirement employment system compliance introduced under this section.

SECTION 4. This act shall take effect on January 1, 2026.